



Trimester Report

TLD-ACE
9/17/2004



Agenda

- ◆ TLD-ACE YTD financial performance
- ◆ Recent Key Wins
- ◆ Potential Opportunities
- ◆ TLD Group info
- ◆ New Product Development Status
- ◆ TLD-ACE Facility Improvements
- ◆ Conclusion

TLD-ACE

YTD financial performance



- ◆ \$16.4M YTD sales against a budget of \$15M
- ◆ Slow start and low end product mix meant unprofitable 1st qtr
- ◆ We played catch-up 2nd and 3rd qtr
- ◆ Currently on plan for operating profit
- ◆ Steel, Copper and Fuel cost increases are impacting our margins.
- ◆ ***End of Military Contract will make it a challenge to meet the year end profit plan***



Recent Key Wins

- ◆ Indian Airlines
 - (7) 802s
- ◆ Jet Airways
 - (3) 804s
- ◆ United
 - 13 GPUs
- ◆ PIA
 - (8) 802
- ◆ Fedex
 - (9) 600-270 JetStarters



Potential Opportunities

- ◆ Southwest Airlines
 - 600-150 Jet Starters
- ◆ Boeing GPUs, 302s
- ◆ ATTAR 802,600,1410,1510,GPU's
- ◆ Globe Ground
 - Jet starters and GPUs
- ◆ Delta 802s
- ◆ MAS 808s
- ◆ Continental HGEU90s
- ◆ United Airlines 600-270s



New Faces/Positions

- ◆ **Jason Yim** has joined the Engineering Department reporting to Simon and is currently working on the 600-150 jet starter
- ◆ Product Support Department load is increasing as we continue to increase the level of sales and aftermarket support. **An additional engineer** will be brought in to help the engineers support key Product Support tasks.
 - Product Manuals
 - Resolution of field issues



TLD Group info

◆ RANGER programs Progressing

- Palmero will produce the GPU in South America
- Shanghai will produce the GPU in Asia
 - ◆ Both of these will produce revenue via ACE kit deliveries
 - ◆ Both of these are bringing lower cost solutions back to ACE
- Belt Loaders will soon be built in Sherebrooke

◆ *The “Globality” of TLD is growing daily*

New Product Development Status



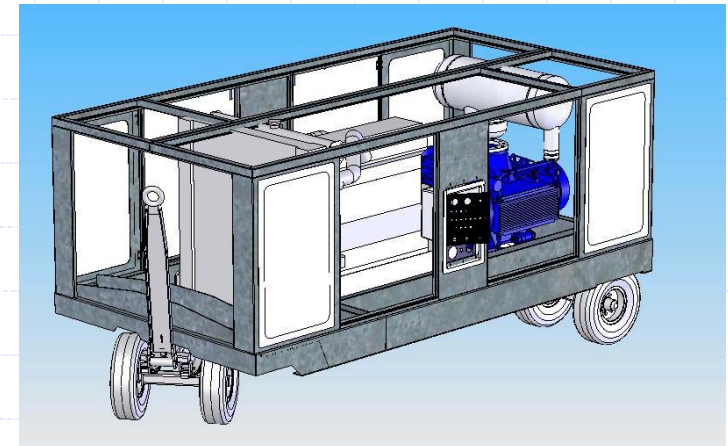
◆ 150 ppm Jet Starter

- Testing program near completion
- Well received at GSE EXPO
- 1st unit already sold!
- Southwest coming to see it!



◆ ASU 600 Common Chassis 180,270,300 ppm jet starter

- In Design stage
- Prototype to be running this fall

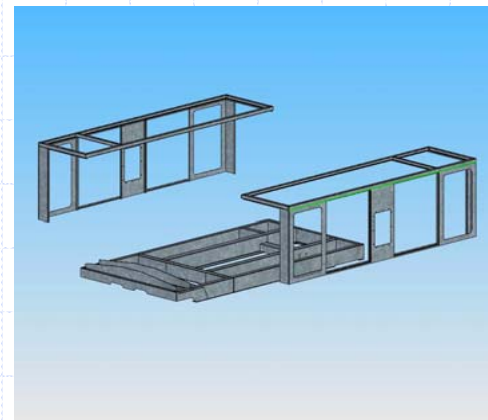
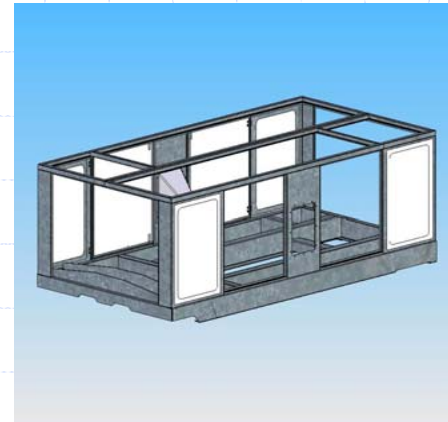


ASU 600

Simplified Sheetmetal



- ◆ Flat platform base
- ◆ Superstructure consisting of two identical weldments.
- ◆ All structural components galvanized.
- ◆ Sheetmetal components powder coated

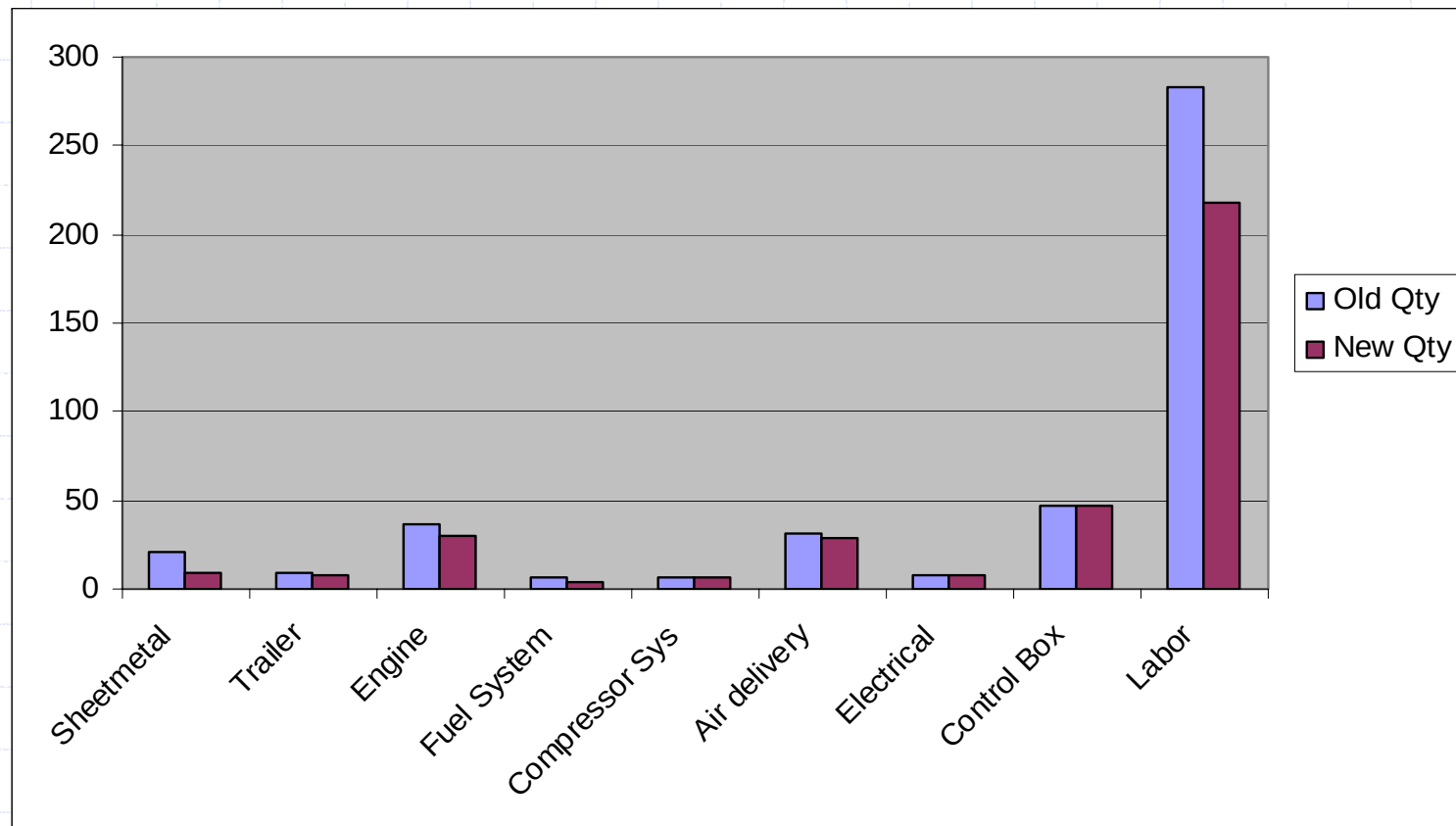


ASU 600

Cost reduction Plan



15% Part count reduction
23% Labor hour reduction



Facility improvements



◆ Test Facility

- Improve the working conditions for our employees
- Improve the appearance of the facility
- Eliminate the test shed bottle neck in winter



Facility improvements

◆ 5S Projects

- Progressing towards year end completion



TLD

Facility improvements



- ◆ Expand Jet Starter Assembly into center room
 - Install “plant 2” crane
- ◆ Paperless shop
 - Computers
 - ◆ Direct access to drawings and BOMs
 - ◆ Electronic Time keeping
 - ◆ E-mail communication
- ◆ Improve Winter loading of shipments
 - Improve loading dock access
 - Make the “boat” crane operational



Conclusion



- ◆ 2nd and 3rd QTR have been an improvement in terms of production rate.
- ◆ Steel, Copper and Fuel cost increases are impacting our margins.
- ◆ With Military contract coming to an end we need to rely on commercial work and adjust to a lower production rate.
 - We need to continue to control costs and improve efficiency
 - Inventory must be reduced and controlled as we head towards year end
- ◆ ***We need to continue to prepare for the resurgence of the Commercial market in 2005***